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LINE 19

26-CIV-03692

HILLTOP 5, LLC VS. JIANGUANG ZHANG, ET AL.

HILLTOP 5, LLC
JIANGUANG ZHANG

KEVIN S EIKENBERRY

DEFENDANT ZERS DOUGLAS, LLC'S MOTION TO EXPUNGE LIS PENDENS

TENTATIVE RULING:

Defendant Zers Douglas, LLC ("Zers LLC") moves for an order expunging a lis pendens filed by Plaintiff Hilltop 5, LLC, pursuant to Code of Civil Procedure section 405.30 on real property located at 524 Oak Grove Avenue, Burlingame, CA (the Property).

A party to an action who asserts a "real property claim" may record a notice of pendency of action ("lis pendens") in the office of the recorder of each county in which the real property is situated. (Code Civ. Proc., § 405.20.) A "real property claim" is defined as "[a] cause or causes of action in a pleading which would, if meritorious, affect (a) title to, or the right to possession of, specific real property or (b) the use of an easement identified in the pleading." (Code Civ. Proc., § 405.4.)

Defendant argues that Plaintiff's pleading does not contain a real property claim because Plaintiff seeks only declaratory relief and that Plaintiff's ultimate objective is not to take title but to satisfy a money judgment. The Court disagrees because the declaratory relief claim is based upon a real property claim that supports a valid lis pendens.

Plaintiff obtained an abstract judgment against Defendant Zhang and recorded it with the San Mateo County Recorder's Office, creating a judgment lien against Defendant Zhang that attaches to all interests in real property held by Zhang. (Eikenberry Decl., ¶ 10, Ex. C, Recorded Abstract Judgment; *See also*, Code Civ. Proc., §§ 697.310, subd. (a), 697.340, subd. (a).) Plaintiff's complaint alleges that Defendant Zhang is using Defendant Zers LLC as an alter-ego to hold title to real property such that the property cannot be reached by Plaintiff and other creditors. A successful judgment in this action would result in the property being treated as belonging to Defendant Zhang and thus subject to Plaintiff's judgment lien. Such a judgment would affect the title of the Property. For the purpose of this motion, the allegations in the Complaint sufficiently support the claim that Zhang has used Zers LLC as an alter-ego and that the latter holds title to the Property for the benefit of Zhang.

Under Code of Civil Procedure section 405.33, the Court shall order a conditional expungement where "the real property claim has probably validity, but adequate relief can be secured to the claimant by the giving of an undertaking." Here, a conditional expungement is appropriate because the real property claim has probable validity but Plaintiff is interested only in the monetary value of the property. (*See Trapasso v. Superior Court* (1977) 73 Cal.App.3d 561, 567-

68 [where complaint established that plaintiff was only interested in the monetary value of the property, trial court did not abuse its discretion by determining that plaintiff would be afforded adequate relief by defendant's furnishing security].)

Here, both parties seek an order expunging the lis pendens, conditioned on the deposit of the net sellers proceeds into an interest-bearing trust account. However, the parties disagree as to the *amount* of the proceeds.

The preliminary title report on the Property indicates that it is subject to a mechanics lien of \$104,151.50, recorded on April 17, 2025, a \$1,350,000 deed of trust recorded on April 25, 2025, and the lis pendens recorded in this action on May 11, 2026. (Eikenberry Decl., ¶ 15, Ex. D, Preliminary Report, at p. 4-5.) Plaintiff does not propose including those amounts in the net seller's proceeds.

The Estimated Seller's Closing Statement shows net sellers proceeds of \$917,624.67. It also shows three payoffs totaling \$1,720,646.10 for the following:

- an estimated \$1,416,000.00 to Mahmoud Ghezavat;
- an estimated \$102,053.44 to GC Alminim, Inc.; and
- an estimated \$202,592.78 to Xanadu Construction.

(Eikenberry Decl., ¶18, Ex. E, Estimated Seller's Closing Statement, at p. 1)

Plaintiff argues that the three payoffs are of "questionable validity." The Xanadu lien was recorded on April 17, 2025. Under Civil Code 8460(a), Xanadu was required to file a lawsuit to foreclose its lien by July 16, 2025. Plaintiff alleges it has not done so; thus the lien is invalid. Plaintiff characterizes the payouts to Mahmoud Ghezavat and CG Alminim, Inc., as "a mystery." The Preliminary Title Report does not show any liens or other exceptions to title in favor of those two payees. Plaintiff asserts that Zers LLC (through Zhang or judgment debtor Zers Development Inc.) likely caused deeds of trust in favor of Mahmoud Ghezavat and CG Alminim Inc. to be recorded in the San Mateo County Recorder's Offices on June 1, 2026, and June 3, 2026, as Instruments #2026-031232 and 2026-031824, respectively. Plaintiff does not have copies of those recorded deeds of trust and claims they have not yet been imaged by the county recorder and made public. (Eikenberry Decl., ¶¶ 19.)

Plaintiff alleges that as a result of its efforts to enforce and collect the subject judgment, Zhang and judgment-debtor Zers Development, Inc. have caused Zers LLC to take action – by not contesting the Xanadu lien and by signing and recording two deeds of trust on the property on June 1 and June 3, 2026, to shield, divert and abscond with \$1,720,646.10 in net sellers proceeds – to reduce the net sellers proceeds from the sale of the property. (Eikenberry Decl., ¶ 20.)

Absent the above three payoffs, the total net sellers proceeds would be \$2,638,270.77 (\$1,720,646.10 + \$917,624.67). Given the requirement that an undertaking be sufficient to "indemnify the claimant for all damages proximately resulting from the expungement," the Court finds \$2,638,270.77 to be an appropriate amount to be held in escrow pending resolution of this

matter, as a condition to expunging the lis pendens on the Property. (*See* Code Civ. Proc., § 405.33.)

Accordingly, the Court GRANTS Defendant's Application for Expungement of Lis Pendens on the following conditions:

1. The Lis Pendens recorded by Plaintiff Hilltop 5, LLC in this action on May 11, 2026 as Instrument No. 2026-026767 of the San Mateo County Recorder's Office against the real property commonly known as 524 Oak Grove Avenue, Burlingame, CA 94010 (APN-029-083-020) is expunged effective upon the performance of the conditions set forth below;
2. Upon the close of the pending sale of the Property, pursuant to Old Republic Title Company Escrow No. 1115040918-CT, net seller's proceeds of \$2,638, 270.77 shall be disbursed from and paid out of escrow in the form of a check payable to "Clerk, San Mateo County Superior Court" with a memo notation on said check "for deposit in case # 26-CIV-03692." Said check shall be delivered by messenger to the Clerk at the Clerk's office located on the first floor of the courthouse located at 400 County Center, Redwood City, CA. The Clerk shall issue a receipt for said check and provide the receipt to the messenger. A copy of said check and the receipt issued by the Clerk shall be forward by Old Republic Title Company to counsel for Plaintiff Hilltop 5, LLC by email sent to Kevin@EikenberryLawFirm.com and to counsel for Defendant Zers Douglas LLC by email to Janry.mak@gmail.com. Once net seller's proceeds are paid and received by the Court they shall be deposited into an interest-bearing account until such time as the Court in this action determines entitlement thereto; and
3. Contemporaneously with the close of the pending sale of the Property, the mechanics lien recorded on the Property on April 17, 2025 as Instrument No. 2025-18492 of the San Mateo County Recorder's Office, the deed of trust recorded on the Property on June 1, 2026 as Instrument No. 2026-031232 of the San Mateo County Recorder's Office, and the deed of trust recorded on the Property on June 3, 2026 as Instrument No. 2026-031824 of the San Mateo County Recorder's Office are removed, reconveyed and extinguished as liens that encumber the Property. To the extent that any or all of those recorded documents create any lien rights, such lien rights are transferred to the net seller's proceeds of \$2,638,270,77 deposited with the Court. Counsel for the parties are to meet-and-confer for the proper form of any documents that need to be recorded and to effectuate the signing and filing of the documents.

The Court separately orders that plaintiff serve Xanadu Construction, Mahmoud Ghezavat, and CG Alminim with notice of this Order and the Complaint in this action and file proofs of service with the Court within 14 days of notice of entry of this order.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Plaintiff shall prepare for the Court's signature a written order and judgment in two separate documents consistent with the Court's ruling, pursuant to California Rules of Court, rule 3.1312,

and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court.

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LINE 20

26-UDL-00202

MARK SCAFINE, ET AL. VS. BLAKE ESQUEDA, ET AL.

MARK SCAFINE
BLAKE ESQUEDA

JAMES D. FRANGOS
PRO SE

DEFENDANTS' MOTION TO VACATE AND SET ASIDE PURPORTED STIPULATION FOR ENTRY OF JUDGMENT AND VOID ACTIONS PURSUANT TO C.C.P. § 473(d)

TENTATIVE RULING:

The unopposed Motion to Vacate and Set Aside Purported Stipulation for Entry of Judgment and Void Actions Pursuant to C.C.P. § 473(d) (the "Motion") brought by Defendants Blake Esqueda and Denise Haver is DENIED.

Background

This is an unlawful detainer action in which Plaintiff alleges that Defendants owed \$3,644.00 in rent at the time of being served with a three-day notice to pay rent or quit. Defendants filed an Answer on March 13, 2026, as well as a Notice of Related Case attempting to relate case 19-UDL-00087 and possibly also case 25-UDL-01763, which this Court found not to be related. (Order Finding Cases Are Not Related, signed and filed on March 19, 2026.) An initial Unlawful Detainer Conference and Trial were held before the Commissioner on April 1 and 3, 2026, respectively. At that trial, the "Parties inform[ed] the Court that they [were] close to settling the matter" and were "handed Department 4's Pretrial Order in open Court." (Minute Order, Court Trial, April 3, 2026.)

The day before the Pretrial Conference ("PTC"), the parties informed the Court that the case had not settled, so the Court discussed the length of trial required for "Defendants claims of [] retaliation and habitability," and, "The Court [brought] up ways to have witnesses appear if there is no agreement from parties." (Minute Order, PTC, April 10, 2026, p.1.) Further, the "Court and parties discuss[ed] exhibits," and the Court raised the "issue regarding authentication of exhibits" and also noted that there had not been a Request for Judicial Notice, so that Judge Fineman pulled the Civil and Health and Safety Codes. (*Id.*, p.2.) In addition, "The Court [went] over the rules of evidence," and asked and the parties confirmed that they had received the Pretrial Order. (*Ibid.*) The Court asked Defendants about their Answer, noted that Defendants had not filed a Cross-Complaint, and reviewed hearsay, at which point Plaintiff's counsel confirmed that he would make hearsay objections to unauthenticated evidence. (*Ibid.*) "The Court inform[ed] parties that if there are no agreement for admissibility of exhibits the Court will proceed per the evidence code," and "inform[ed] Defendants that as they are self-represented that the Court will treat them the same as if they were an attorney" and "expects no surprises from parties." (*Ibid.*)

The records of the Court Trial further show that the Court has devoted a great deal of effort to ensuring that Defendants understood what they needed to do to submit evidence for trial via the Pretrial Order and the Pretrial Conference, but Defendants did not take the steps required.

(Minute Order, Court Trial, April 15, 2026, (the “Minutes from Trial”).) At trial, *inter alia*, Defendants tried to add a police report as evidence, “The Court inform[ed] parties that exhibits needed to be exchanged prior to trial as stated in the Court’s Pretrial Order which the parties previously confirmed that they received,” and Plaintiff’s counsel objected. (Minutes from Trial, pp.1-2.)

The Court noted that Defendants’ papers needed to be filed in the proper format, and reviewed Defendants’ Witness List. Defendants informed the Court “that their witnesses are not present. The Court notes that she had informed Defendants at the Pretrial Conference regarding subpoenas for witnesses.” (*Id.*, p.2)

On both of these points:

The Court asks Defendants how they plan to have the report from San Mateo Police Department authenticated without witnesses. Defendants inform the Court that they have a copy of the report that is certified and provide it to the Court. The Court notes that the copy of the report given to her is a copy of the report with highlights and no certification. Plaintiffs’ counsel objects to the report as hearsay. The Court informs Defendants that the report cannot be submitted as evidence as it is not certified and that Plaintiffs’ counsel objects. The Court asks Defendants if they talked to the officer who wrote the report. Defendants inform the Court they have not. The Court informs Defendants that today is the date of the Court Trial and that they had extra time to prepare The Court asks Defendants if they have prepared a subpoena for the Court to sign. Defendants inform the Court that they did not.

The Court informs Defendants that none of the evidence that they have provided the Court can come in at trial as there is no authentication. At the Pretrial Conference the Court informed the parties regarding authentication of exhibits, rules of evidence, and Plaintiffs’ counsel had said that he would object if there was no authentication as to Defendants’ evidence. The Court asks for an offer of proof by Defendants on their evidence. Argument presented by Defendants. The Court will not allow in any evidence that is not authenticated.

(*Ibid.*) Defendants also had surprised Plaintiffs’ counsel by naming him as a witness, and the Court explained the procedure for calling opposing counsel as a witness, noting that Defendants had not identified him at the PTC. (*Ibid.*)

Plaintiffs’ counsel requested a break to discuss settlement, and Defendants did not object. As to settlement, the Minutes from Trial details the care with which the Court ensured that Defendants understood and agreed to the Stipulated Judgment before signing it.

The Court even reviewed the collateral matter of Case No. 19-UDL-00087, which never had been assigned to a judge and which the Court had deemed unrelated after Defendants had sought to relate it (and another case that the Court also deemed unrelated) in its Order filed on March 19, 2026. The Minutes from Trial explicitly record that the Court further went over Plaintiffs’ counsel’s request, which is reflected in the Stipulation for Entry of Judgment signed by this Court and filed on April 15, 2026 (the “Stipulated Judgment”), to clear Defendants’ record, and to enter

an Order *nunc pro tunc* as of the date that the Request for Dismissal was entered in that matter so that the case was unsealed. (Minutes from Trial, p.3.)

As to the Stipulated Judgment, further:

- “The Court asks if the Defendants agree to the Stipulated Judgment. Defendants confirm they agree.” (*Id.*, p.4.)
- “The Court reviews the Stipulated Judgment,” raising various points and informing the parties that they “will need to initial the changes made to the attachment if they so agree.” (*Ibid.*) Accordingly, the Stipulated Judgment bears amendments and initials. (Stipulated Judgment, Att. 1, at pp.2-3.)
- “Plaintiffs’ counsel explained the changes and issues to Defendants and all parties have agreed. [¶] The Court signs the Stipulated Judgment.”

On May 22, 2026, this Court denied Defendants’ Proposed Order Staying Execution of Writ of Possession Pending Evidentiary Hearing on Motion to Vacate Pursuant to CCP § 473(d) (Order Denying, signed and filed on May 22, 2026), and a similar Proposed Order on May 26, 2026, noting that “Commissioner Elliott denied this relief on 5/22/26. Judge Fineman cannot change that order.” (Order Denied, May 26, 2026.) The Court again denied another similar Proposed Order brought *ex parte* on May 29, 2026, with handwritten reasoning provided by the Commissioner including that relief pursuant to Code of Civil Procedure section 473, subdivision (d) must be sought by noticed motion. ([Proposed] Order Staying Execution of Writ of Possession and Setting Aside Stipulation, signed and filed on May 29, 2026.) A Writ of Possession issued on June 4, 2026.

By the Motion, Defendants ask the Court to set aside and vacate the Stipulated Judgment, and any subsequent possessory Orders arising therefrom.

The Motion Is Denied.

In contrast to the history detailed *supra*, Defendants now declare that:

On April 15, 2026, opposing counsel induced our signatures on a hallway stipulation under extreme economic duress, promising our public records would be cleared. When asked what the pending *nunc pro tunc* changes were for, counsel explicitly represented that it was an administrative matter involving an “unfinished divorce.” This statement was a complete fabrication designed to keep us in ignorance while Plaintiff secretly modified and sealed a 2019 clerk default case without ever serving us with copies of the underlying moving papers.

(Defendants’ Joint Decl., ¶ 5.) Yet it is clear from the Minutes from Trial that the Court walked through the Stipulated Judgment with the parties, that Plaintiff’s counsel also explained the changes and issues to Defendants before the Court, and that all parties agreed to the Stipulated Judgment, initialing changes thereto. (Minutes from Trial, p.2.) The Court would not have signed the Stipulated Judgment without ensuring that all parties actually agreed. In light of the Court’s detailed records, Defendants’ assertion that the Stipulated Judgment “was procured via active extrinsic fraud, economic duress, and a willful breach of candor toward the tribunal” is unpersuasive. (Motion, 2:14-15.)

Plaintiffs also assert that the Stipulated Judgment and the underlying action “are void *ab initio* due to a total absence of standing, lack of subject-matter privity, material real property variance,” so that they bring the Motion pursuant to Code of Civil Procedure section 473, subdivision (d). (Motion, 2:11-13.) However, the statute provides that:

The court may, upon motion of the injured party, or its own motion, correct *clerical* mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order.

(Code Civ. Proc., § 473, subd. (d) (emphasis added).) Further, the Supreme Court of California specifies that a Court has both inherent power “to vacate and correct its judgments, which because of clerical error are improvidently or inadvertently made, as well as the power under section 473 of the Code of Civil Procedure to correct clerical errors” (*Bastajian v. Brown* (1941) 19 Cal.2d 209, 214 (*Bastajian*)), underscoring that, “Independently of statute a trial court has power to correct mistakes and to annul orders and judgments inadvertently or improvidently made” (*ibid.* (citations omitted)). The *Bastajian* Court emphasizes that:

While a court has power to set aside judgments and orders inadvertently made which are not actually the result of the exercise of judgment, it has no power, having once made its decision after regular submission, to set aside or amend judicial error except under appropriate statutory procedure.

(*Ibid.* (citations omitted).) It is very clear from the record detailed above that the Court did not sign the Stipulated Judgment due to a clerical error. Further, the Court noted and signed the Stipulated Judgment in the course and as a result of its extensive efforts to ensure Defendants’ full awareness of its contents. Accordingly, Defendants failed to identify a judicial error here. Defendants appear to be raising legal arguments that do not fall within the scope of the statute.

Though Defendants do not explicitly move under subdivision (b) of the statute, the Court considered whether the Motion might sound in that subdivision of section 473 of the Code of Civil Procedure, which provides, in relevant part, that:

The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.

(Code Civ. Proc., § 473, subd. (b).) However, the Court’s care to ensure that the parties were not stipulating through mistake, inadvertence, surprise, nor excusable neglect, which is reflected extensively in the Court’s records of the first trial on April 3, 2026, the PTC, and the trial on April 15, 2026, makes it highly unlikely that Defendants could make a sufficient showing under this subdivision. The statute also requires that, “Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted” (*Ibid.*) This requirement has not been fulfilled.

Procedural Notes

The Motion was to have been served and filed by May 29, 2026. (Code Civ. Proc., § 1005, subd. (b).) However, it was filed and service is declared to have been effected on June 3, 2026. Thus, Plaintiff was not afforded sufficient time to oppose. If Plaintiff wants the motion to be continued, he shall properly contest the tentative ruling and appear at the hearing.

The Court did not consider *Defendants' Omnibus Supplemental Memorandum of Points and Authorities and Joint Declaration in Support of Pending Motions to Vacate Stipulation and Judgment; Comprehensive Exhibit Index (Exhibits H-P)*, which Defendants filed on June 12, 2026, three days after the Opposition was due. From the title, it appears to be another version of the Motion. There is simply no way that Plaintiff had an opportunity to oppose this filing, which opportunity already was insufficient as to the Motion itself.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Plaintiff shall prepare for the Court's signature a written order consistent with the Court's ruling, pursuant to California Rules of Court, Rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court.

2:00 PM

LINE 21

26-UDL-00441

T. ANNE LASSAHN VS. JOANNE STILES

T. ANNE LASSAHN
JOANNE STILES

COREY M. POLLAK

MOTION TO SET ASIDE DEFAULT JUDGMENT

TENTATIVE RULING:

The court GRANTS defendant Joanne Stiles' motion for relief from default.

Plaintiff T. Anne Lassahn correctly objects that defendant failed to provide the statutory notice. If plaintiff wishes more time to file a further opposition, she should properly contest the tentative ruling and the court will continue the hearing and allow plaintiff to file another opposition. Since plaintiff has also filed a substantive objection, the court will issue a tentative ruling based upon the arguments made.

Plaintiff's request for judicial notice is granted. However, such notice is limited to the existence and content of the documents and not the truth of the matters asserted in the documents. (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389,400.)

The first issue is whether defendant was personally served as stated by the registered process server's declaration. There is a presumption that there is proper service when there is a registered process server's return. (Code Civ. Proc., § 647.) Once shown, the burden shifts to the party challenging service to produce evidence that service did not occur as stated. (*American Express Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390.). The presumption can be rebutted by a declaration credited by the court. (*Fernandes v. Singh* (2017) 16 Cal.App.5th 932, 941 citing *City of Los Angeles v. Morgan* (1951) 105 Cal.App.2d 726, 729-731.) Defendant has offered evidence sufficient to rebut the presumption of valid personal service. She states that she was at home on April 28, 2026 and that she was not personally served as she had been previously. Instead, she discovered the postings in the evening. (Stiles Decl. at p. 1.) Plaintiff presents no evidence in opposition to this contention. The court credits defendant's statements in that she admits that she has been personally served previously, affirmatively states that while she was at home on April 28, 2026, she was not personally served.

Plaintiff argues that defendant had actual notice of the service of summons and thus default is proper. However, she had actual notice of service by posting, which provided her additional time to file a response. The posting is complete the tenth day after posting and mailing. (Code Civ. Proc., § 415.45, subd. (c).) An answer must be filed within ten days after service of the summons and complaint, but that period excludes Saturdays, Sundays, and other court holidays. (Code Civ. Proc., § 1167, subd. (a).) There is no proof of service by mail to start the running of the ten days. Thus when defendant tried to file her answer on May 26, 2026, her answer was timely.

Plaintiff has attached a proposed answer to her declaration as Exhibit A, a required element for relief from default. The answer is not deemed filed but shall be filed and served within five days of notice of entry of default.

The court also finds that defendant is entitled to relief under Code of Civil Procedure section 473, subdivision (b) that her failure to file her answer was on the basis of mistake, inadvertence, surprise or excusable neglect. Even if she was personally served, her belief, which the court credits, that she was served by posting, the failure of mailing of the summons and complaint to start the time to answer running, and her diligence on attempting to file an answer on May 26, 2026 support the court's finding.

The law strongly favors trial and disposition on the merits and any doubts in applying section Code of Civil Procedure section 473 must be resolved in favor of the party seeking relief from default. (*Minick v. City of Petaluma* (2016) 3 Cal.App.5th 15, 24.)

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, defendant shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

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